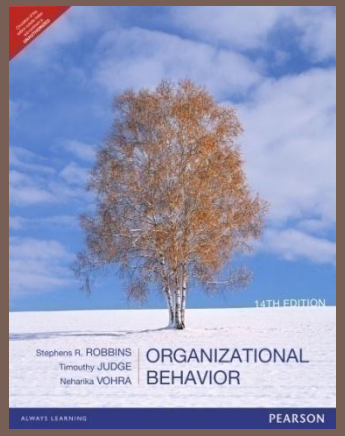


ORGANIZATIONAL BEHAVIOR

Perception and Individual Decision Making

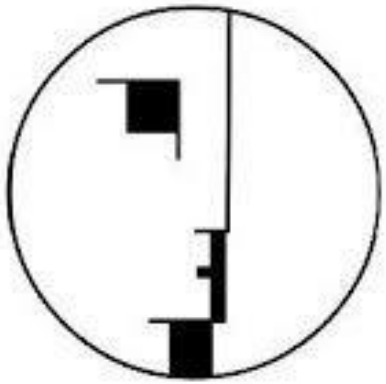
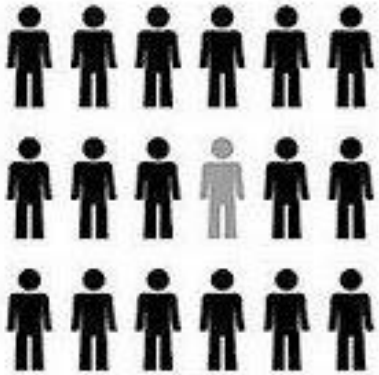
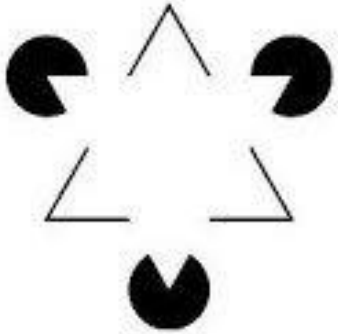
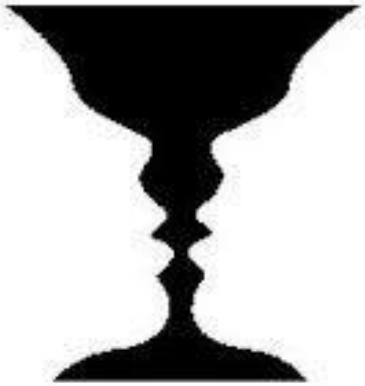
Reference: Robbins, Judge, and Vohra Organizational Behavior, 14th Edition
Dorling Kindersley (India) Pvt. Ltd, Authorized adaptation from the United States edition of *Organizational Behavior, 14e*

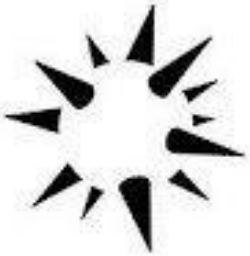
Lesson 6

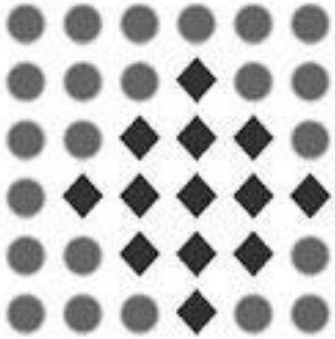
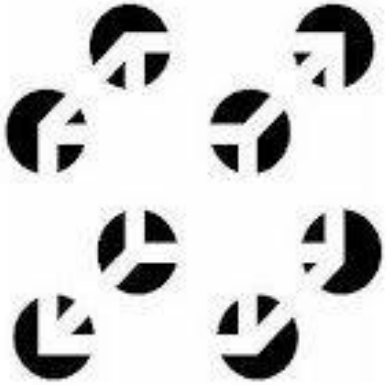
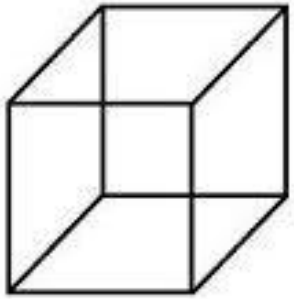
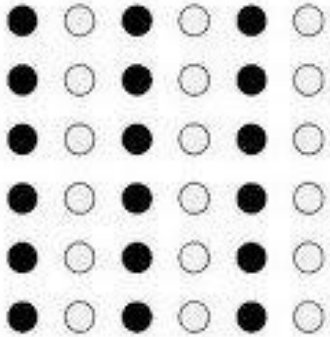
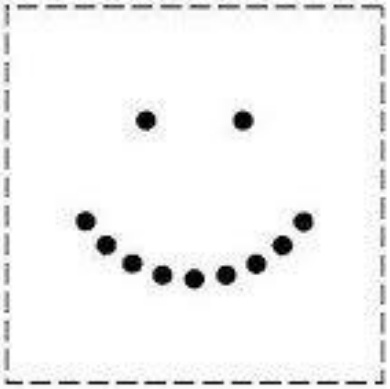
Chapter Learning Objectives

- After studying this chapter, you should be able to:
  - Define perception and explain the factors that influence it.
  - Explain attribute theory and list the three determinants of attribution.
  - Identify the shortcuts individuals use in making judgments about others.
  - Explain the link between perception and decision making.
  - Apply the rational model of decision making and contrast it with bounded rationality and intuition.
  - List and explain the common decision biases or errors.
  - Explain how individual differences and organizational constraints affect decision making.
  - Contrast the three ethical decision criteria.
  - Define creativity and discuss the three-component model of creativity.

- 1 = 5
- 2 = 25
- 3 = 125
- 4 = 625
- 5 = ?



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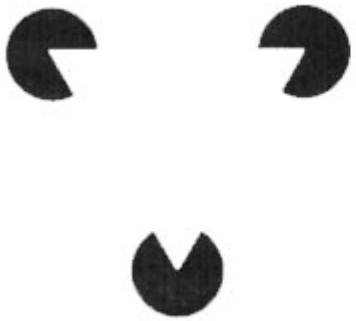

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What Is Perception?

- A process by which individuals organize and interpret their sensory impressions in order to give meaning to their environment.
- People's behavior is based on their perception of what reality is, not on reality itself.
- The world as it is perceived is the world that is behaviorally important.

http://www.bbc.com/future/bespoke/story/20150130-how-your-eyes-trick-your-mind/index.html

Perception Stages

(& the many opportunities we have for misinterpreting any situation)

1

2

3

Selectively Perceive

through our senses
We pay attention to what meets a need or is enjoyable

Organize

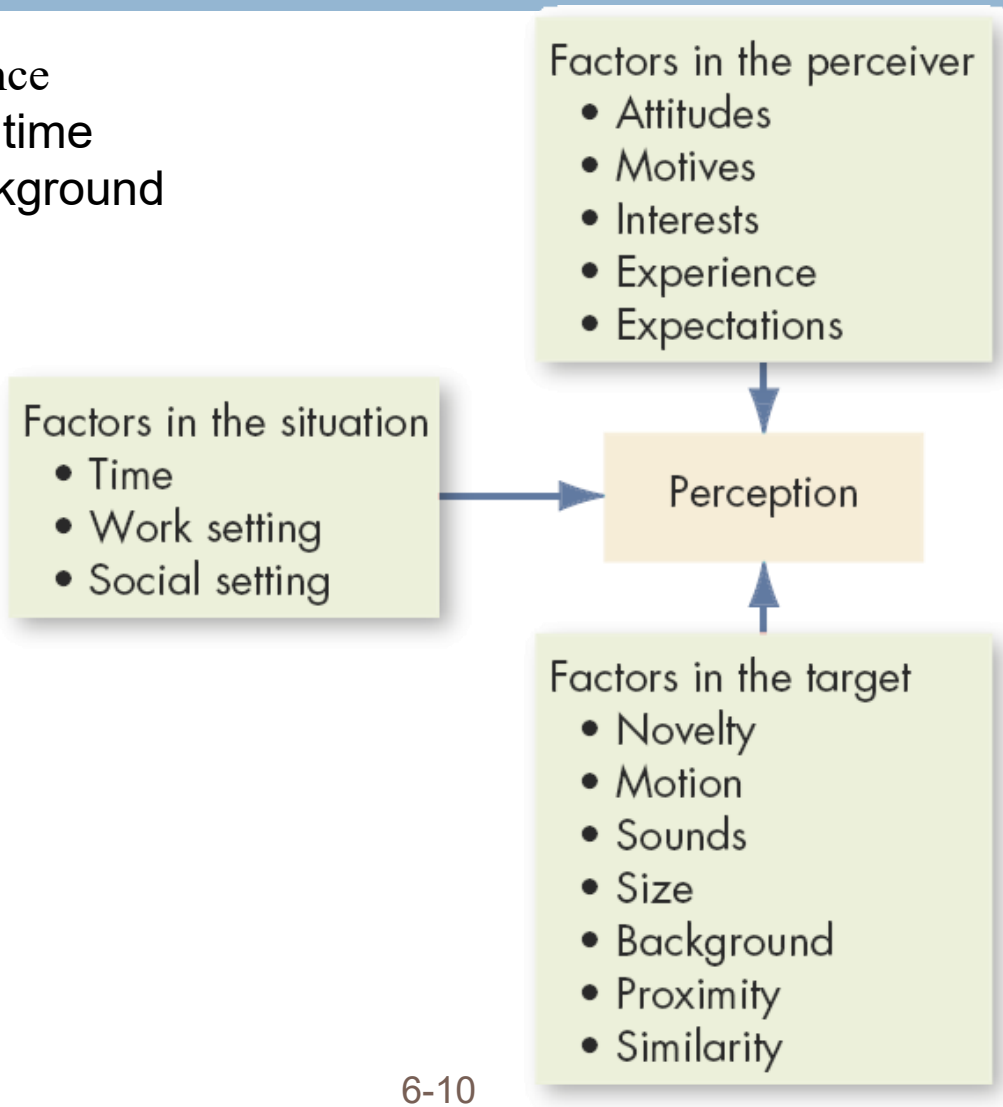
Evaluate according to our unique mental schemata
We organize according to how we think things should or should not be

Interpret

What does it mean to me?

Factors That Influence Perception

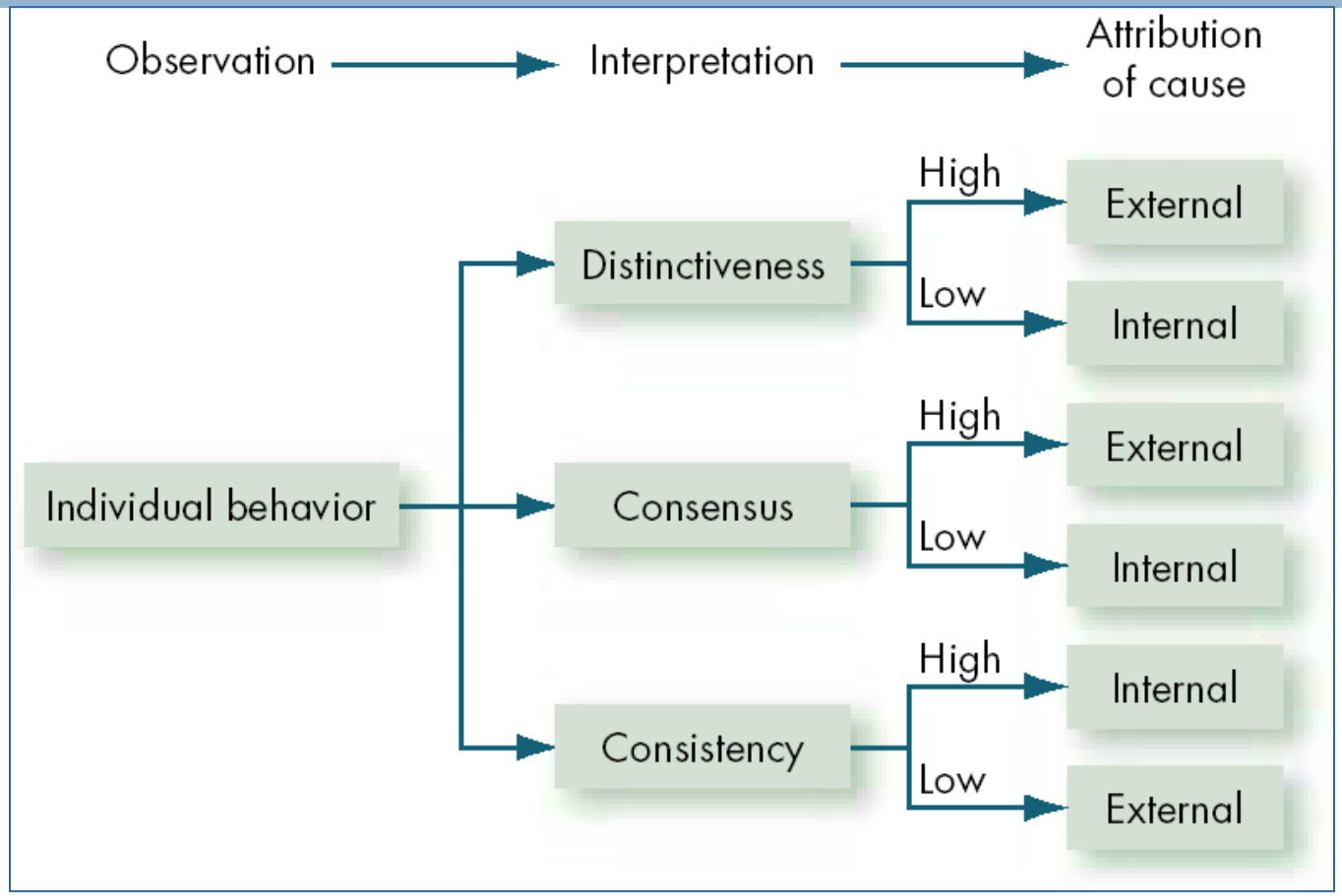
1. Perceiver such as attitudes and experience
2. Situation such as social setting and time
3. Target such as sounds, size, or background



Attribution Theory: Judging Others

- Our perception and judgment of others is significantly influenced by our assumptions of the other person's internal state.
  - When individuals observe behavior, they attempt to determine whether it is internally or externally caused.
    - Internal causes are under that person's control
    - External causes are not under the person's control
- Causation judged through:
  - *Distinctiveness:* Shows different behaviors in different situations
  - *Consensus:* Response is the same as others to the same situation
  - *Consistency:* Responds in the same way over time

Elements of Attribution Theory



This chart looks at the elements of the attribution theory and helps us to make the connection between external or internal driven factors. For example if consensus is high then it is most likely externally driven whereas if consensus is low it tends to be more internally driven.

Errors and Biases in Attributions

- Fundamental Attribution Error
  - The tendency to underestimate the influence of external factors (not under the person's control)and overestimate the influence of internal factors when making judgments about the behavior of others
  - *We blame people first, not the situation*

(First, we often tend to underestimate the influence of external factors and overestimate the influence of internal factors. This is called the fundamental attribution error.)

- Self-Serving Bias
  - The tendency for individuals to attribute their own successes to internal factors (under that person's control)while putting the blame for failures on external factors
  - *It is "our" success but "their" failure*

(The next common error is the self-serving bias. This bias exists when individuals attribute their own successes to internal factors and blame external factors when they don't experience success)

Frequently Used Shortcuts in Judging Others

- Selective Perception
  - People selectively interpret what they see on the basis of their interests, background, past experience, and attitudes (and their interests to interpret information about others and reinforce their own biases. Relying on these shortcuts can lead to misperceiving the situation.)
- Halo Effect
  - Drawing a general impression about an individual on the basis of a single characteristic (where generally favorable impressions are drawn about an individual when a single characteristic is positive. The opposite is true when unfavorable impressions are drawn about an individual based on a single negative characteristic; this is called the horn effect.)
- Contrast Effect
  - Evaluation of a person's characteristics that are affected by comparisons with other people recently encountered who rank higher or lower on the same characteristics (comparison to draw conclusions)

Perceptual Errors

PERCEPTUAL ERROR	DESCRIPTION	EXAMPLE	RECOMMENDED SOLUTION
Halo	A rater forms an overall impression about an object and then uses that impression to bias ratings about the object.	Rating a professor high on the teaching dimensions of ability to motivate students, knowledge, and communication because we like him or her.	Remember that an employee's behavior tends to vary across different dimensions of performance. Keep a file or diary to record examples of positive and negative employee performance throughout the year.
Leniency	A personal characteristic that leads an individual to consistently evaluate other people or objects in an extremely positive fashion.	Rating a professor high on all dimensions of performance regardless of his or her actual performance. The rater that hates to say negative things about others.	It does not help employees when they are given positive feedback that is inaccurate. Try to be fair and realistic when evaluating others.

Perceptual Errors

PERCEPTUAL ERROR	DESCRIPTION	EXAMPLE	RECOMMENDED SOLUTION
Recency effects	The tendency to remember recent information. If the recent information is negative, the person or object is evaluated negatively.	Although a professor has given good lectures for 12 to 15 weeks, he or she is evaluated negatively because lectures over the last 3 weeks were done poorly.	It is critical to accumulate examples of performance that span the entire rating period. Keep a file or diary to record examples of performance throughout the year.
Contrast effects	The tendency to evaluate people or objects by comparing them with characteristics of recently observed people or objects.	Rating a good professor as average because you compared his or her performance with three of the best professors you have ever had in college. You are currently taking courses from the three excellent professors.	It is important to evaluate employees against a standard rather than your memory of the best or worst person in a particular job.

Another Shortcut: Stereotyping

Judging someone on the basis of one's perception of the group to which that person belongs – a prevalent and often useful, if not always accurate, generalization (however, it can also be inaccurate and cause us to mistakenly develop a perception about an individual that is not representative of who they are.)

- Profiling
  - A form of stereotyping in which members of a group are singled out for intense scrutiny based on a single, often racial, trait.

Specific Shortcut Applications in Organizations

- Employment Interview
  - Perceptual biases of raters affect the accuracy of interviewers' judgments of applicants
  - Formed at a single glance: 1/10th of a second!
- Performance Expectations
  - Self-fulfilling prophecy-prediction (*Pygmalion effect*): The lower or higher performance of employees reflects preconceived leader expectations about employee capabilities
- Performance Evaluations
  - Appraisals are often the subjective (judgmental) perceptions of appraisers of another employee's job performance
  - Critical impact on employees

Perceptions and Individual Decision Making

- Problem
  - A perceived discrepancy/inconsistency between the current state of affairs and a desired state
- Decisions
  - Choices made from among alternatives developed from data
- Perception Linkage:
  - All elements of problem identification and the decision-making process are influenced by perception.
    - Problems must be recognized.
    - Data must be selected and evaluated.

Decision-Making Models in Organizations

- Rational Decision Making
  - The "perfect world" model: assumes complete information, all options known, and maximum payoff
  - Six-step decision-making process (that every option has been identified and that there is a maximum payoff) –
  - (1.Define the problem. 2.Identify the decision criteria. 3.Allocate weights to the criteria. 4.Develop the alternatives. 5.Evaluate the alternatives. 6.Select the best alternative)
- Bounded Reality
  - The "real world" model: seeks satisfactory and sufficient solutions from limited data and alternatives (where it seeks solutions that are the best, given the information that is available.)
- Intuition
  - A non-conscious process created from distilled experience that results in quick decisions
    - Relies on holistic associations
    - Affectively charged – engaging the emotions

Common Biases and Errors in Decision Making

- Overconfidence Bias
  - Believing too much in our own ability to make good decisions, especially when outside of own expertise
- Anchoring Bias
  - Using early, first received information as the basis for making subsequent judgments (and not on the new information received, causing you to jump to a decision before you have the right information.)
- Confirmation Bias
  - Selecting and using only facts that support our decision (Ignoring facts that go against your decision can limit the success of the solution.)
- Availability Bias
  - Emphasizing information that is most readily at hand (not having all the information you need creates a decision-making process that is incomplete.)
    - Recent
    - Vivid

More Common Decision-Making Errors

- Escalation of Commitment
  - Increasing commitment to a decision in spite of evidence that it is wrong – *especially if responsible for the decision!*
- Randomness Error
  - Creating meaning out of random events – superstitions
- Risk Aversion
  - The tendency to prefer a sure gain of a moderate amount over a riskier outcome, even if the riskier outcome might have a higher expected payoff
- Hindsight Bias
  - After an outcome is already known, believing it could have been accurately predicted beforehand

Individual Differences in Decision Making

- Individuals incorporate not only their own biases, but also their own characteristics in their decision making.
- Personality, such as characteristics outlined in the Big Five dimensions, can influence decision making such as conscientiousness and self-esteem.
- Gender also plays a role in decision making. Women tend to analyze decisions more than men and this can cause them to ruminate over their decisions. The reasons for this are undetermined. Some psychologists speculate that parents encourage their daughters to express their feelings more readily than sons and another theory is that women are more worried about what others think about them and this causes them to worry more about their decisions. Women tend to be more empathetic and this can also cause them to think about how their decisions impact others.
- Mental ability also influences decision making. People with higher levels of mental ability make decisions more quickly as well as make better decisions because they are able to process information more effectively.

Organizational Constraints

There are many organizational constraints to good decision making that create deviations from the rational model defined earlier.

- Performance Evaluation
  - Managerial evaluation criteria influence actions
- Reward Systems
  - Managers will make the decision with the greatest personal payoff for them
- Formal Regulations
  - Limit the alternative choices of decision makers
- System-Imposed Time Constraints
  - Restrict ability to gather or evaluate information
- Historical Precedents
  - Past decisions influence current decisions

Ethics in Decision Making

- Ethical Decision Criteria
  - Outcomes (Utilitarianism)
    - Decisions made based solely on the outcome
    - Seeking the greatest good for the greatest number of people and is the dominant method for business people
  - Rights
    - Decisions consistent with fundamental liberties and privileges in an attempt to protect the basic rights of individuals
    - Respecting and protecting basic rights of individuals such as whistle-blowers
  - Justice
    - Imposing and enforcing rules fairly and impartially and
    - Equitable distribution of benefits and costs

Ethical Decision-Making Criteria Assessed

- Utilitarianism
  - Pro: Promotes efficiency and productivity
  - Con: Can ignore individual rights, especially minorities
- Rights
  - Pro: Protects individuals from harm; preserves rights
  - Con: Creates an overly legalistic work environment
- Justice
  - Pro: Protects the interests of weaker members
  - Con: Encourages a sense of entitlement

Improving Creativity in Decision Making

- Creativity
  - The ability to produce novel and useful ideas
- Who has the greatest creative potential?
  - Those who score high in *Openness to Experience*
  - People who are intelligent, independent, self-confident, risk-taking, have an internal locus of control, tolerant of ambiguity, low need for structure, and who persevere in the face of frustration

The Three-Component Model of Creativity

Proposition that individual creativity results from a mixture of three components

- Expertise is the foundation and is based on the knowledge and experience of the individual
- Creative-Thinking Skills are the personality characteristics associated with creativity such as the ability to use analogies and the talent to see things differently
- Intrinsic Task Motivation is the desire to do the job because of its characteristics

Global Implications

- Attributions
  - There are cultural differences in the ways people attribute cause to observed behavior
- Decision Making
  - No research on the topic: assumption of "no difference"
  - Based on our awareness of cultural differences in traits that affect decision making, this assumption is suspect
- Ethics
  - No global ethical standards exist
  - Asian countries tend not to see ethical issues in "black and white" but as shades of gray
  - Global companies need global standards for managers

Summary and Managerial Implications

- Perception:
  - People act based on how they view their world
  - What *exists* is not as important as what is *believed*
  - Managers must also manage perception

- Individual Decision Making
  - Most use bounded rationality: they satisfice
  - Combine traditional methods with intuition and creativity for better decisions
    - Analyze the situation and adjust to culture and organizational reward criteria
    - Be aware of, and minimize, biases